When originally introduced in 1974, the Wilshire 5000 Index held 5,000 stocks, thus the name. Today, the number of stocks in the index varies, depending on the number of stocks trading on the major U.S. stock markets. At times it is over 5,000, and at times less.

The major criteria for inclusion in the Wilshire 5000 Composite Index are as follows:

- Any U.S. equity issue: a common stock, real estate investment trust (see Chapter 9), or limited partnership. Nondomiciled U.S. stocks and American Depositary Receipts (ADR is a negotiable foreign certificate issued by a U.S. bank) are excluded.
- The security must trade in the United States on the NYSE or Nasdaq.
- The security must be the primary equity issue for the company.
- Bulletin-board issues are excluded.

The Wilshire 5000 Composite is the most complete broad market index. There are several others, including the Dow Jones Total Market Index, holding 4,200 stocks; the MSCI U.S. Broad Market Index, holding about 3,800 stocks; and the Russell 3000, holding 3,000 stocks. In addition, there are several broad market indexes that exclude microcap stocks. They are the Dow Jones U.S. Broad Stock Market Index, with approximately 2,400 companies; Morningstar Total Market, with about 1,600 stocks; and Standard & Poor’s 1500 (a hand-selected index), which holds 1,500 companies.

Several low-cost index funds and ETFs are available that track the returns of these broad market indexes. A partial list of those funds is available at the end of this chapter.

SIZE AND STYLE OPPORTUNITIES

An investment in a total U.S. stock market fund is a solid foundation on which to base a stock allocation. From there, you can analyze various sectors of the U.S. stock market to possibly find an opportunity to add greater diversification through selectively over-weighting one or more sectors. Investors should have a system for segmenting the market so that the sectors do not overlap.

All index providers classify the companies in their broad market indexes by style and size, and all providers have their own methodology. Most